J.G. Boswell Company

Consolidated Financial Statements©

Years Ended June 30, 2025 and 2024
With Report of Independent Certified Public Accountants

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Consolidated Financial Statements

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Contents

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REPORT OF INDEPENDENT CERTIFIED PUBLIC ACCOUNTANTS

Board of Directors and Shareholders
J.G. Boswell Company

Opinion

We have audited the consolidated financial statements of J.G. Boswell Company (a California corporation) and subsidiaries (the "Company"), which comprise the consolidated balance sheets as of June 30, 2025 and 2024, and the related consolidated statements of income (loss), comprehensive income (loss), stockholders' equity, and cash flows for the years then ended, and the related notes to the consolidated financial statements.

In our opinion, the accompanying consolidated financial statements present fairly, in all material respects, the financial position of the Company as of June 30, 2025 and 2024, and the results of its operations and its cash flows for the years then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for opinion

We conducted our audits of the consolidated financial statements in accordance with auditing standards generally accepted in the United States of America (US GAAS). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of the Company and to meet our other ethical responsibilities in accordance with the relevant ethical requirements relating to our audits. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Responsibilities of management for the financial statements

Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the Company's ability to continue as a going concern for one year after the date the consolidated financial statements are available to be issued.

Grant Thornton

Auditor's responsibilities for the audit of the financial statements
Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with US GAAS will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the consolidated financial statements.

In performing an audit in accordance with US GAAS, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the consolidated financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the consolidated financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the Company's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

Grant Thornton LLP

Los Angeles, California
October 15, 2025

J.G. Boswell Company

Consolidated Balance Sheets

	June 30 2025	June 30 2024
	(In Thousands, Except Share Information)	
Assets		
Current assets:		
Cash and cash equivalents	**$ 261**	$ 211
Trade receivables, net	**77,413**	49,860
Inventories	**260,931**	211,588
Growing crops	**148,616**	180,323
Prepaid expenses and other	**16,468**	13,000
Total current assets	**503,689**	454,982
Other assets:		
Right-of-use assets – operating leases	**7,273**	5,456
Other assets	**10,401**	9,910
Total other assets	**17,674**	15,366
Property, plant and equipment, at cost:		
Buildings and improvements	**233,843**	230,974
Machinery and equipment	**470,410**	468,264
Orchards	**283,234**	275,449
Less accumulated depreciation and amortization	**(587,511)**	(569,086)
	399,976	405,601
Land and related water investments	**106,048**	106,048
Net property, plant and equipment	**506,024**	511,649
Total Assets	**$ 1,027,387**	$ 981,997

	June 30	
	2025	**2024**
	(In Thousands, Except Share Information)	
Liabilities and Stockholders' Equity		
Current liabilities:		
Notes payable	**$ 150,285**	$ 35,700
Accounts payable trade	**47,584**	56,456
Accrued liabilities	**35,697**	34,475
Total current liabilities	**233,566**	126,631
Noncurrent liabilities:		
Accrued employee benefits and other	**16,772**	19,031
Lease liabilities – leases	**6,706**	3,983
Deferred tax liability – net	**15,270**	25,768
Total Liabilities	**272,314**	175,413
Commitments and contingencies		
Stockholders' Equity:		
Common stock, without par value:		
Authorized shares – 2,500,000		
Issued and outstanding shares – 964,210 (973,977 in 2024)	**94,058**	94,909
Retained earnings	**662,375**	713,575
Accumulated other comprehensive loss	**(1,360)**	(1,900)
Total Stockholders' Equity	**755,073**	806,584
Total Liabilities and Stockholders' Equity	**$ 1,027,387**	$ 981,997

See accompanying notes.

J.G. Boswell Company

Consolidated Statements of Income (Loss)

	Year Ended June 30 2025	Year Ended June 30 2024
	(In Thousands, Except Share Information)	
Sales	**$ 388,967**	$ 469,529
Cost of sales	**399,657**	388,746
General and administrative	**21,650**	19,744
Operating (loss) income	**(32,340)**	61,039
Other income (expense):		
Net interest expense	**(7,829)**	(2,143)
Net gain on sale of assets	**883**	1,651
Other	**79**	82
(Loss) income before taxes	**(39,207)**	60,629
Income tax (benefit) expense	**(10,258)**	13,976
Net (loss) income	**(28,949)**	46,653
Basic earnings per share	**$ (29.86)**	$ 47.83
Diluted earnings per share	**$ (29.86)**	$ 47.69
Weighted-average shares outstanding – basic	**969,547**	975,362
Weighted-average shares outstanding – diluted	**971,831**	978,241

See accompanying notes.

J.G. Boswell Company

Consolidated Statements of Comprehensive Income (Loss)

	Year Ended June 30	
	2025	2024
	(In Thousands)	
Net (loss) income	**$ (28,949)**	$ 46,653
Other comprehensive income (loss), net of tax:		
Minimum pension and postretirement health care liability adjustment, net of $49 tax benefit ($1,115 tax benefit in 2024)	**540**	(2,054)
Other comprehensive income (loss), net of tax	**540**	(2,054)
Comprehensive (loss) income	**$ (28,409)**	$ 44,599

See accompanying notes.

J.G. Boswell Company

Consolidated Statements of Stockholders' Equity

	Common Stock		Retained	Accumulated Other Comprehensive	
	Shares	**Amount**	**Earnings**	**Income (Loss)**	**Total**
	(In Thousands, Except Share Information)				
Stockholders' equity at June 30, 2023	977,410	$ 93,581	$ 689,979	$ 154	$ 783,714
Net income	–	–	46,653	–	46,653
Other comprehensive loss	–	–	–	(2,054)	(2,054)
Dividends paid ($20.00 per share)	–	–	(19,510)	–	(19,510)
Modification of common stock	–	1,347	–	–	1,347
Modification of restricted common stock	544	605	–	–	605
Stock-based compensation	269	280	–	–	280
Repurchase and retirement of common stock	(4,246)	(904)	(3,547)	–	(4,451)
Stockholders' equity at June 30, 2024	973,977	$ 94,909	$ 713,575	$ (1,900)	$ 806,584
Net loss	**–**	**–**	**(28,949)**	**–**	**(28,949)**
Other comprehensive income	**–**	**–**	**–**	**540**	**540**
Dividends paid ($17.50 per share)	**–**	**–**	**(16,982)**	**–**	**(16,982)**
Modification of common stock	**–**	**17**	**–**	**–**	**17**
Modification of restricted common stock	**23**	**486**	**–**	**–**	**486**
Repurchase and retirement of common stock	**(9,790)**	**(1,354)**	**(5,269)**	**–**	**(6,623)**
Stockholders' equity at June 30, 2025	**964,210**	**$ 94,058**	**$ 662,375**	**$ (1,360)**	**$ 755,073**

See accompanying notes.

J.G. Boswell Company

Consolidated Statements of Cash Flows

	Year Ended June 30	
	2025	**2024**
	(In Thousands)	
Operating activities		
Net (loss) income	**$ (28,949)**	$ 46,653
Adjustments to reconcile net (loss) income to net cash provided by operating activities:		
Net realizable value adjustment	**42,834**	4,518
Depreciation expense	**34,235**	33,819
Right-of-use amortization	**2,464**	1,493
Provision for bad debt	**132**	25
Provision for inventory spoilage	**4,707**	1,308
Deferred income taxes	**(10,449)**	4,666
Stock-based compensation expense	**(7)**	37
(Gain) on sale of assets	**(883)**	(1,651)
Changes in operating assets and liabilities:		
(Increase) decrease in trade receivables	**(27,685)**	2,405
Increase in inventories	**(96,884)**	(11,480)
Decrease (increase) in growing crops	**31,707**	(69,492)
(Increase) decrease in prepaid expenses and other	**(3,468)**	8,594
Increase in other assets	**(491)**	(4,370)
(Decrease) increase in accounts payable and accrued liabilities	**(6,459)**	19,611
(Decrease) increase in accrued employee benefits and other noncurrent liabilities	**(5,651)**	1,443
Net cash (used) provided by operating activities	**(64,847)**	37,579

	Year Ended June 30	
	2025	**2024**
	(In Thousands)	
Investing activities		
Proceeds from sale of property, plant and equipment	**$ 3,264**	$ 3,363
Purchase of property, plant and equipment	**(28,184)**	(45,451)
Net cash used in investing activities	**(24,920)**	(42,088)
Financing activities		
Proceeds from notes payable	**366,782**	30,700
Repayments of notes payable	**(252,197)**	–
Principal paid on finance leases	**(483)**	(40)
Dividends paid	**(16,982)**	(19,510)
Redemption of stock units	**(693)**	(2,388)
Exercise of stock options	**13**	318
Repurchase of common stock	**(6,623)**	(4,452)
Net cash provided by financing activities	**89,817**	4,628
Net increase in cash and cash equivalents	**50**	119
Cash and cash equivalents at beginning of year	**211**	92
Cash and cash equivalents at end of year	**$ 261**	$ 211

See accompanying notes.

1. Lines of Business

J.G. Boswell Company's (the Company) principal business is the production, processing and marketing of agricultural commodities, primarily cotton, cotton seed products, tomatoes, small grains and orchards in California. The Company owns full or fractional subsurface oil, gas and mineral interests in the land it owns, and land owned by others in both California and Oregon.

2. Summary of Significant Accounting Policies

Recent Accounting Pronouncements

In December 2023, the FASB issued Accounting Standards Update ("ASU") No. 2023-09, Income Taxes (Topic 740): Improvements to Income Tax Disclosures, which focuses on the rate reconciliation and income taxes paid. ASU No. 2023-09 requires annual disclosure of a tabular rate reconciliation using both percentages and currency amounts, broken out into specified categories with certain reconciling items further broken out by nature and jurisdiction to the extent those items exceed a specified threshold. In addition, all entities are required to disclose income taxes paid, net of refunds received disaggregated by federal, state/local, and foreign and by jurisdiction if the amount is at least 5% of total income tax payments, net of refunds received. The new standard is effective for annual periods beginning after December 15, 2025, with early adoption permitted, including disclosures for all periods presented. We are evaluating adoption of this ASU prospectively for the period ending June 30, 2026, and it will impact only our disclosures with no impacts to our financial condition and results of operations.

Flood Expense

During the year ended June 30, 2023, the Company experienced rainfall surpassing historical records. The Company incurred costs to manage flood flows and expense land preparation costs. This resulted in a charge to cost of sales of $1,405,000 and $38,730,000 for the years ended June 30, 2025 and 2024, respectively.

2. Summary of Significant Accounting Policies (continued)

Insurance Recoveries

The Company may file prevented planting claims on certain crops when those crops are prevented from being planted due to adverse weather conditions. Insurance recoveries from such claims are recorded to revenue in the period in which the proceeds are received. The Company received recoveries net of insurance premiums related to the 2024 pima crop of $1,701,000 and the 2023 pima and safflower crops of $48,157,000 for the years ended June 30, 2025 and 2024, respectively.

The Company also received yield insurance proceeds resulting from adverse weather conditions of $8,532,000 and $2,252,000 for the years ended June 30, 2025 and 2024, respectively.

Basis of Consolidation

The Company's consolidated financial statements have been prepared in accordance with the accounting principles generally accepted in the United States of America (U.S. GAAP). The accompanying consolidated financial statements include the accounts of the Company and its wholly owned subsidiaries. All significant intercompany balances and transactions have been eliminated.

Accounts Receivable

Receivables are stated at the carrying values, net of an allowance for expected credit losses. The Company records specific provisions for the individual accounts when it becomes aware of a customer's inability to meet its financial obligations. Our expected credit loss allowance methodology for accounts receivable is developed using historical losses, current economic conditions and future market forecasts. We also perform ongoing evaluations of our existing and potential customer's creditworthiness. The allowance for expected credit losses was $132,000 and $25,000 for the years ended June 30, 2025 and 2024, respectively.

The Company has factoring agreements that are sponsored by certain customers. Under these arrangements, the Company may sell eligible short-term trade receivables on a non-recourse basis to unrelated financial institutions in exchange for cash. These transactions are accounted for as a sale of receivables.

2. Summary of Significant Accounting Policies (continued)

Accounts Receivable (continued)

During the years ended June 30, 2025 and 2024, the Company sold receivables of $73,131,000 and $75,205,000, respectively, under the customer sponsored factoring agreements in exchange for cash proceeds of $72,047,000 and $73,928,000, respectively. The proceeds from the sales of receivables are included in net cash from operating activities in the consolidated statements of cash flows. The cost of participating in the programs for the years ended June 30, 2025 and 2024 was $1,084,000 and $1,277,000, respectively, and is included in interest expense in the consolidated statements of income.

At June 30, 2025 and 2024, the outstanding principal amount of receivables under these customer sponsored factoring agreements amounted to $4,784,000 and $6,367,000, respectively.

Concentrations of Credit Risk

Concentrations of credit risk consist primarily of trade receivables, revenues, and accounts payable. For the year ended June 30, 2025, the Company had one customer that comprised greater than 10% of trade receivables, two customers that comprised greater than 10% of revenues, and two suppliers that comprised greater than 10% of accounts payable.

For the year ended June 30, 2024, the Company had three customers that comprised greater than 10% of trade receivables, one customer that comprised greater than 10% of revenues, and two suppliers that comprised greater than 10% of accounts payable.

Inventories and Growing Crops

Agricultural products and growing crops are stated at the lower of cost or market and net realizable value (LCNRV) with cost, determined by the first-in, first-out (FIFO) method.

The reserves for LCNRV of $42,834,000 and $4,518,000 were recorded to cost of sales for the years ended June 30, 2025 and 2024, respectively.

The Company records an inventory reserve for the anticipated loss associated with tomato paste spoilage. This reserve is based on management's current knowledge with respect to inventory levels, sales trends, and historical experience. The inventory reserve was $4,707,000 and $1,308,000 for the years ended June 30, 2025 and 2024, respectively.

2. Summary of Significant Accounting Policies (continued)

Property, Plant and Equipment

Property, plant and equipment are carried at cost and depreciated primarily on the double-declining balance method over the following estimated useful lives: buildings and improvements, 3–40 years, and machinery and equipment, 3–25 years. Building leasehold improvements are amortized over the related term of the lease.

Costs of planting and developing orchards are capitalized until the orchards become commercially productive. At such time, the Company ceases the capitalization of costs and commences depreciation. Subsequent orchard maintenance costs are accounted for as production costs.

The table below summarizes capital expenditures for the years ended June 30.

	2025	2024
	(In Thousands)	
Capital expenditures:		
Operational capital expenditures	**$ 27,982**	$ 45,122
Corporate capital expenditures	**202**	329
Total capital expenditures	**$ 28,184**	$ 45,451

Earnings per Share

Basic earnings per share information is based upon the weighted-average number of shares of common stock outstanding during each year. Diluted earnings per share is based on the weighted-average number of shares of common stock outstanding plus incentive stock option equivalents of 2,284 and 2,879 for the years ended June 30, 2025 and 2024, respectively. Diluted shares outstanding include the dilutive effect of incentive stock option equivalents. The dilutive impacts of incentive stock options for the year ended June 30, 2025 have been excluded from the diluted loss per share calculation as the Company was in a loss position. Share repurchases are recorded as treasury stock at cost under the constructive retirement method and are retired during the same fiscal year.

Fair Value of Financial Instruments

The carrying amounts reported in the consolidated balance sheets for the Company's current financial instruments approximate fair value due to the short-term nature of these instruments.

2. Summary of Significant Accounting Policies (continued)

Statements of Cash Flows

Cash and cash equivalents include cash on hand and in banks, and short-term highly liquid investments with maturities of 90 days or less. The Company maintains its cash with major financial institutions and there were no deposits exceeding federally insured limits during the years ended June 30, 2025 and June 30, 2024, respectively. The Company paid interest of $10,205,000 and income taxes of $1,000,000 for the year ended June 30, 2025. The Company paid interest of $3,650,000 and income taxes of $3,700,000 for the year ended June 30, 2024. The Company capitalized interest of $2,951,000 and $1,825,000 for the years ended June 30, 2025 and 2024, respectively.

Use of Estimates

The preparation of consolidated financial statements in conformity with accounting principles generally accepted in the United States requires management to make estimates and assumptions that affect the amounts reported in the consolidated financial statements and accompanying notes. Critical accounting estimates are those estimates made in accordance with generally accepted accounting principles that involve a significant level of estimation or uncertainty and have had or are reasonably likely to have a material impact on the financial condition or results of operations of the Company. Significant estimates inherent in the preparation of the Company's consolidated financial statements include, but are not limited to, accounting for postretirement benefit plans, income taxes including deferred income taxes, workers' compensation plan, stock valuation, inventory reserves, land and related water investments, grower incentives, fair value measurements and contingencies. Actual results could differ from these estimates.

Reclassification

Certain 2024 balances have been reclassified to be consistent with the 2025 presentation. Such reclassifications did not impact the Company's consolidated financial position or results of operations.

3. Revenue Recognition

The Company accounts for its revenues in accordance with Accounting Standards Update (ASU) 2014-09 *Revenue from Contracts with Customers* (Topic 606). Under this ASU, companies must apply a five-step model to recognize revenue upon the transfer of promised goods or services to customers in an amount that reflects the consideration to which the Company expects to be entitled in exchange for those goods or services.

Through the identification of the Company's chief operating decision maker and an analysis of the management approach as prescribed by ASC 280 – *Segment Reporting*, the Company operates in one reportable operating segment, which generates revenues from agricultural products and agricultural processing services. Agricultural products primarily include revenues generated from the sale of cotton, cotton seed, tomatoes, small grains and orchard products. Agricultural processing services include revenues generated from services rendered to third parties for oil milling services whereby these products are converted into sellable cottonseed oil and other byproducts.

The Company determines revenue recognition through the following steps:

- Identification of the contract, or contracts, with a customer
- Identification of the performance obligations in the contract
- Determination of the transaction price
- Allocation of the transaction price to the performance obligations in the contract
- Recognition of revenue, when or as, the Company satisfies a performance obligation

Revenues for agricultural products are recognized when the risks and rewards of ownership have substantively transferred to customers. Amounts related to shipping and handling that are billed to customers in a sales transaction are recorded as sales and related costs are recorded within cost of sales.

Revenues for agricultural processing services are generated via processing that is short-term in nature. The Company recognizes revenues for such services in a manner which depicts the transfer of promised services to customers in an amount that reflects the consideration to which the Company expects to be entitled in exchange for those services.

3. Revenue Recognition (continued)

Performance Obligations – Revenues are recognized when control of the promised goods is transferred to the customer or delivery of services is rendered, in an amount that reflects the consideration the Company expects to be entitled to in exchange for those goods or services. Each shipment represents a separate performance obligation. The Company's selling price is directly observable as it is the price at which the Company sells its products separately to the customer. The Company recognizes revenue based on the point in time criteria based on the definition of control, which is generally upon shipment terms for products or as services are rendered.

On occasion, the Company receives requests from customers to delay physical transfers of products for the customers' convenience under bill-and-hold arrangements. We recognize revenue from these arrangements in accordance with ASC 606, which requires the transaction to meet the following criteria to determine that the customer has obtained control: (a) the reason for the bill-and-hold is substantive, (b) the product has been separately identified as belonging to the customer, (c) the product is currently ready for physical transfer to the customer, and (d) the Company does not have the ability to use the product or direct it to another customer. The Company's bill-and-hold revenues where physical transfer of product had not occurred by June 30, 2025 were $7,080,000. There were no bill-and-hold revenues for the fiscal year ended June 30, 2024.

Disaggregated Revenue – The Company disaggregates revenue by sales of goods or services (agricultural products or agricultural processing services). This disaggregation represents how the Company evaluates its financial performance, as well as how the Company communicates its financial performance to other users of its consolidated financial statements. The following table provides disaggregation of revenues by revenue stream for the years ended June 30:

	2025	2024
	(In Thousands)	
Revenue stream:		
Agricultural products	**$ 376,910**	$ 460,868
Agricultural services	**12,057**	8,661
Total sales	**$ 388,967**	$ 469,529

4. Notes Payable

Notes payable consists of the following at June 30:

	2025	2024
	(In Thousands)	
Current notes payable:		
$200 million line of credit		
Interest is payable at the bank's quoted cost of funds rates ranging from 6.51% to 7.58% for 2025.	**$ 104,385**	$ 35,700
$80 million line of credit		
Interest is payable at the bank's quoted cost of funds at 6.85% for 2025.	**45,900**	–
Total current notes payable	**$ 150,285**	$ 35,700

During the year ended June 30, 2025, the Company amended and increased its unsecured line of credit facility from an available balance of $150,000,000 at June 30, 2024 to $200,000,000 with a maturity date of September 2027. The Company also entered into a new unsecured line of credit with an available balance of $40,000,000 and subsequently increased its line of credit facility to $80,000,000 with a maturity date of October 2027.

During the year ended June 30, 2024, the Company amended and increased its unsecured line of credit facility from an available balance of $50,000,000 at June 30, 2023 to $150,000,000.

Such modifications were not considered to be substantial under U.S. GAAP.

5. Leases

ASC Topic 842, *Leases,* requires lessees to recognize assets and liabilities for most leases. A lease is a contract, or part of a contract, that conveys the right to control the use of identified property, plant or equipment (i.e., an identified asset) for a period of time in exchange for consideration. The Company determines if an arrangement is a lease at contract inception. The Company's contracts that are determined to be leases include explicitly or implicitly identified assets where the Company has the right to substantially all of the economic benefits of the assets and has the ability to direct how and for what purposes the assets are used during the lease term.

The Company has leases for office facilities and equipment which are classified and accounted for as operating or finance leases. Some leases include one or more options to renew, generally at the Company's sole discretion, with renewal terms that can extend the lease term from one to five years or more. In addition, certain leases contain termination options, where the rights to terminate are held by either the Company, the lessor, or both parties. These options to extend or terminate a lease are included in the lease terms when it is reasonably certain that the Company will exercise that option.

The Company made an accounting policy election not to recognize right-of-use (ROU) assets and lease liabilities for leases with a term of twelve months or less. Furthermore, the Company has elected not to separate the accounting for lease components and non-lease components, for all classes of leased assets. ROU assets and lease liabilities are recognized based on the present value of the fixed lease payments over the lease term at the commencement date. The ROU assets also include any initial direct costs incurred and lease payments made at or before the commencement date and are reduced by lease incentives. The Company uses its incremental borrowing rate as the discount rate to determine the present value of the lease payments for leases that do not have a readily determinable implicit discount rate. The Company's incremental borrowing rate is the rate of interest that it would have to borrow on a collateralized basis over a similar term and amount in a similar economic environment.

Operating lease cost is recognized on a straight-line basis over the lease term. The depreciable life of assets and leasehold improvements are limited by the expected lease term. Certain vendors have the right to declare the Company in default of its agreements if any such vendor, including the lessors under its vehicle leases, determines that a change in the Company's financial condition poses a substantially increased credit risk. The Company's lease agreements do not contain any significant residual value guarantees or material restrictive covenants. The Company's sublease income is immaterial to the consolidated financial statements.

5. Leases (continued)

The components of lease expense are as follows for the years ended June 30:

	2025	2024
	(In Thousands)	
Operating lease costs:	**$ 2,868**	$ 1,632
Finance lease costs:		
Amortization of lease assets	**69**	8
Interest on lease liabilities	**65**	3
Short-term lease costs	**10,909**	8,539
Total lease costs	**$ 13,911**	$ 10,182

Supplemental cash flow information related to leases is as follows for the years ended June 30:

	2025	2024
	(In Thousands)	
Cash paid for amounts included in measurement of lease liabilities:		
Operating cash outflows from operating leases	**$ 3,019**	$ 1,680
Operating cash outflows from finance leases	**483**	43
ROU assets obtained in exchange for new operating lease liabilities	**4,220**	1,393
Leased assets obtained in exchange for new finance lease liabilities	**2,868**	74

5. Leases (continued)

Supplemental balance sheet information related to leases is as follows at June 30:

	2025	2024
	(In Thousands)	
Operating and Finance leases:		
Right-of-use assets – operating leases	**$ 7,273**	$ 5,456
Property, plant, and equipment – finance leases	**2,807**	–
Liabilities:		
Accrued operating lease liabilities	**2,353**	1,413
Accrued finance lease liabilities	**496**	42
Long-term operating and finance lease liabilities	**6,706**	3,983
Total lease liabilities	**$ 9,555**	$ 5,438

	2025	2024
Weighted-average remaining lease term:		
Operating leases	**5.03 years**	6.76 years
Finance leases	**3.61 years**	0.75 years
Weighted-average discount rate:		
Operating leases	**6.66%**	6.20%
Finance leases	**6.85%**	6.88%

The following represents the Company's future undiscounted cash flows of its leases for each of the next five years and thereafter and reconciliation to the lease liabilities recognized on the consolidated balance sheet at June 30, 2025:

	Operating	Finance	Total
		(In Thousands)	
2026	**$ 2,736**	**$ 505**	**$ 3,241**
2027	**1,804**	**505**	**2,309**
2028	**1,228**	**505**	**1,733**
2029	**393**	**1,365**	**1,758**
2030	**399**	–	**399**
Thereafter	**1,910**	–	**1,910**
Total lease payments	**8,470**	**2,880**	**11,350**
Less imputed interest	**(1,342)**	**(453)**	**(1,795)**
Present value of lease liabilities	**$ 7,128**	**$ 2,427**	**$ 9,555**

6. Retirement Benefit Plans

The Company has a defined benefit retirement plan for all eligible employees, which is funded on a current basis as required by applicable regulations. The plan is frozen and no additional benefits accrue to participants. The Company also has retirement plans that cover certain key employees, which are funded only to meet current obligations.

In addition to the Company's defined benefit retirement plan, the Company sponsors a defined benefit health care plan that offers postretirement health care benefits to all eligible employees. The plan is contributory and contains other cost-sharing features such as deductibles and coinsurance. The Company's policy is to fund the cost of benefits as they are incurred.

The principal actuarial assumptions used are as follows at June 30:

	2025	**2024**
Retirement plans		
Discount rate	**5.60%**	5.60%
Expected long-term rate of return on assets	**7.25%**	7.00%
Postretirement health care plan		
Discount rate	**5.20%**	5.40%
Health care cost trend rate	**8.50%**	7.50%

The primary investment objectives of the retirement plans are to achieve optimal rates of return with prudent levels of risk and liquidity, minimize risk of loss associated with the investments, and to provide adequate liquidity for benefit payments and plan management.

6. Retirement Benefit Plans (continued)

The following tables set forth the status of the plans for the years ended June 30:

	Retirement Plans		Postretirement Health Care Plan	
	2025	**2024**	**2025**	**2024**
	(In Thousands)			
Change in benefit obligation:				
Benefit obligation at beginning of year	**$ 80,054**	$ 84,664	**$ 863**	$ 1,299
Service cost	**950**	950	**4**	19
Interest cost	**4,159**	4,189	**44**	65
Actuarial gains	**(1,056)**	(1,836)	**33**	(457)
Benefit payments	**(6,217)**	(7,913)	**(64)**	(63)
Benefit obligation at end of year	**77,890**	80,054	**880**	863
Change in plan assets:				
Fair value of plan assets at beginning of year	**61,886**	69,082	**–**	–
Actual return	**3,662**	(1,890)	**–**	–
Company contributions	**2,667**	2,607	**64**	63
Benefit payments	**(6,217)**	(7,913)	**(64)**	(63)
Fair value of plan assets at end of year	**61,998**	61,886	**–**	–
Funded status at end of year and amounts recognized	**$ (15,892)**	$ (18,168)	**$ (880)**	$ (863)
Amounts recognized in accumulated other comprehensive income (loss):				
Net actuarial (gain) loss	**$ 7,056**	$ 7,178	**$ (2,187)**	$ (2,496)

6. Retirement Benefit Plans (continued)

Net periodic benefit costs include the following components for the years ended June 30:

	Retirement Plans		Postretirement Health Care Plan	
	2025	**2024**	**2025**	**2024**
	(In Thousands)			
Components of net periodic benefit cost:				
Interest costs on projected benefit obligation	**$ 4,159**	$ 4,189	**$ 44**	$ 65
Service cost	**950**	950	**4**	19
Expected return on plan assets	**(4,568)**	(4,436)	**–**	–
Amortization of actuarial (gain) loss	**(29)**	(28)	**(195)**	(145)
Settlements	**–**	–	**(82)**	(82)
Net periodic benefit cost	**$ 512**	$ 675	**$ (229)**	$ (143)

The estimated net periodic benefit cost for the plans for the year ending June 30, 2026 is $279,000. Components of the estimated net periodic benefit cost are as follows: interest costs on projected benefit obligation – $4,055,000; service cost – $1,085,000; expected return on plan assets – ($4,569,000); and amortization of actuarial gain – ($292,000).

In order to maintain 80% funded status of the plans, estimated cash contributions of $3,645,000 would be required to be made during the year ending June 30, 2026.

Estimated future benefit payments expected to be paid out in the next ten years are as follows: 2026 – $12,586,000; 2027 – $9,530,000; 2028 – $7,385,000; 2029 – $7,216,000; 2030 – $7,235,000 and $27,705,000 for the next five years thereafter.

Under ASU 2018-14, significant gain and loss items were identified during the years ended June 30, 2025 and 2024. Gains and losses were due to changes in the discount rate and assumptions for retirements and turnover. Postretirement medical gains and losses were due to a decrease in the discount rate, and updated trend and claim costs.

6. Retirement Benefit Plans (continued)

Retirement plan assets consist of equity, debt and money market securities. At June 30, 2025, the investment mix was approximately 72% equity, 26% debt and 2% money market securities. At June 30, 2024, the investment mix was approximately 72% equity, 26% debt and 2% money market securities.

The asset allocation strategy is determined through a detailed analysis of assets and liabilities which defines the overall risk that is acceptable with regard to the expected level and variability of portfolio returns, contributions and plan expenses.

The long-term asset allocation policy was established by considering a variety of factors including, but not limited to, the duration of the liabilities, and the expected payout ratio.

ASC 820, *Fair Value Measurement,* establishes a fair value hierarchy that categorizes assets into levels based on the inputs to valuation techniques used to measure the assets' fair values. The hierarchy defines the highest category (Level 1) as that with the most observable inputs and the lowest category (Level 3) as that with the least observable inputs. The three levels are described below.

Level 1 – Unadjusted quoted prices in active markets that are accessible at the measurement date for identical assets.

Level 2 – Quoted prices in markets that are not considered to be active or assets for which all significant inputs are observable, either directly or indirectly.

Level 3 – Prices or valuations that require inputs that are both significant to the fair value measurement and unobservable. Level 3 inputs include management's own assumptions.

6. Retirement Benefit Plans (continued)

Retirement plan assets' level within the fair value hierarchy is based on the lowest level of any input that is significant to the assets' fair value measurement. The fair value of the plan's assets, by level, is as follows at June 30:

	2025			
	Level 1	**Level 2**	**Level 3**	**Total**
	(In Thousands)			
Plan assets at fair value:				
Mutual funds	**$ 8,409**	**$ –**	**$ –**	**$ 8,409**
Collective investment funds	**–**	**24,818**	**–**	**24,818**
Company common stock	**–**	**–**	**27,359**	**27,359**
Money market securities	**–**	**1,412**	**–**	**1,412**
Total plan assets at fair value	**$ 8,409**	**$ 26,230**	**$ 27,359**	**$ 61,998**

	2024			
	Level 1	**Level 2**	**Level 3**	**Total**
	(In Thousands)			
Plan assets at fair value:				
Mutual funds	$ 8,381	$ –	$ –	$ 8,381
Collective investment funds	–	24,722	–	24,722
Company common stock	–	–	27,660	27,660
Money market securities	–	1,123	–	1,123
Total plan assets at fair value	$ 8,381	$ 25,845	$ 27,660	$ 61,886

6. Retirement Benefit Plans (continued)

The following table sets forth a summary of changes in the fair value of the plan's Level 3 assets for the years ended June 30:

	2025	2024
	(In Thousands)	
Company common stock		
Balance at beginning of year	**$ 27,660**	$ 33,673
Unrealized (loss) gain	**(301)**	(6,013)
Balance at end of year	**$ 27,359**	$ 27,660

The Company common stock fair value has been determined using standard valuation techniques, including discounted cash flow, capital market, business transaction and asset accumulation methods. The significant inputs for the valuation models include financial statement forecasts derived from Company data, weighted-average cost of capital, real estate appraisals, and comparable industry and market data. The inputs into determination of fair value require significant judgement and estimation. Due to uncertainties in the estimation process, it is possible that actual results could differ from those estimates.

7. Defined Contribution Retirement Plans

The Company has active and frozen defined contribution retirement plans covering all eligible employees.

The active defined contribution plans include a qualified 401(k) plan and non-qualified deferred compensation plans. Under these plans, the Company matching contributions are up to 4% of qualified earnings with an additional 4% annual contribution regardless of employee contributions. Employees classified as highly compensated under the Internal Revenue Code (IRC) may choose to participate in the deferred compensation plan in full or in addition to the 401(k) plan. Contributions under both plans are invested, at the employees' direction, among a variety of investment alternatives. Participants are immediately vested in their matching contributions while the 4% annual contributions vest after three years of employment. The 401(k) plan is fully funded. The deferred compensation plan is partially funded. The Company contributions to the plans are $3,295,000 and $2,839,000 for the years ended June 30, 2025 and 2024, respectively.

The frozen defined contribution plans include a qualified profit sharing plan and non-qualified profit sharing plans.

Net accrued liabilities related to the plans are $12,800,000 and $12,440,000 at June 30, 2025 and 2024, respectively.

8. Stock Incentive Plans

The Company maintains stock-based incentive plans for key management. The plans allow for stock-based compensation awards, including awards of common equity shares, restricted equity shares, stock options and stock appreciation rights.

There were no common equity shares awarded in the year ended June 30, 2025. There were 200 common equity shares awarded with immediate vesting during the year ended June 30, 2024.

Under the terms of the existing restricted equity share agreements, the Company may at any time repurchase some or all of the holders' shares. The holders may, at designated times during the year, require the Company to repurchase some or all of the holders' shares. The purchase price for any shares repurchased by the Company shall be the most recent semiannually prepared fair value. This valuation requires unobservable inputs classifying it in Level 3 of the fair value hierarchy (see Note 6). The Company recognizes stock-based compensation expense at the date of grant using the fair value method.

The Company's restricted stock awards held over one year are equity classified.

The expense associated with the awards and restriction removal is included in total stock-based compensation expense. There was no stock-based compensation expense for the year ended June 30, 2025 and there was $773,000 of stock-based compensation for the year ended June 30, 2024.

In prior years, the Company awarded incentive stock options (ISOs) that allow for stock appreciation rights (SARs). These options have fully vested. The holders may exercise the vested portion of the units. Similar to the restricted common stock awards, shares resulting from this exercise may be repurchased by the Company, and the holders of those same shares may require the Company to repurchase some or all of the shares. The Company recognizes stock-based compensation expense for the appreciation of the exercisable and outstanding options and rights using the intrinsic value measurement method based on the fair value of the Company's common stock.

8. Stock Incentive Plans (continued)

Information regarding the units under the ISO and SAR stock-based compensation plans is as follows:

	2025	2024
Units outstanding at beginning of year	**7,045**	11,150
Exercised	**(1,440)**	(4,105)
Units outstanding at end of year	**5,605**	7,045
Units exercisable at end of year	**5,605**	7,045

Units and exercise price per unit by year of grant under the ISO and SAR-based compensation plans are as follows:

	Units	Exercise Price Per Unit
2015 Grant	**1,275**	$ 500
2016 Grant	**1,880**	$ 530
2017 Grant	**2,450**	$ 580
Units outstanding at June 30, 2025	**5,605**	

9. Income Taxes

The components of income tax expense (benefit) are as follows for the years ended June 30:

	2025		
	Current	**Deferred**	**Total**
	(In Thousands)		
Federal	**$ (252)**	**$ (8,472)**	**$ (8,724)**
State	**443**	**(1,977)**	**(1,534)**
	$ 191	**$ (10,449)**	**$ (10,258)**

	2024		
	Current	**Deferred**	**Total**
	(In Thousands)		
Federal	$ 7,661	$ 3,685	$ 11,346
State	1,649	981	2,630
	$ 9,310	$ 4,666	$ 13,976

9. Income Taxes (continued)

The major elements contributing to the difference between the reported income tax expense (benefit) from continuing operations and income taxes computed at the U.S. federal statutory tax rate of 21% are as follows for the years ended June 30:

	2025		2024	
	(In Thousands, Except Percentages)			
Statutory rate	**$ (8,233)**	**(21.0)%**	$ 12,732	21.0 %
State income tax, net of federal tax	**(1,818)**	**(4.6)%**	2,960	4.9 %
Foreign-derived income deduction	–	**0.0 %**	(966)	(1.6)%
Share-based compensation	–	**0.0 %**	133	0.2 %
Tax credits	**(299)**	**(0.8)%**	(736)	(1.2)%
Other items, net	**92**	**0.2 %**	(147)	(0.3)%
Effective tax rate	**$ (10,258)**	**(26.2)%**	$ 13,976	23.0 %

The components of deferred tax assets (liabilities) are as follows at June 30:

	2025	2024
	(In Thousands)	
Deferred tax assets:		
Compensation and employee benefit accruals	**$ 7,123**	$ 6,803
Pension and postretirement medical liability	**4,066**	4,665
Tax credit carryforwards	**9,846**	4,694
Inventories	**10,272**	4,509
Research expenditures	**1,925**	1,747
Accrued liabilities	**1,611**	1,282
Other	**777**	–
Total deferred tax assets	**35,620**	23,700
Valuation allowance	**(4,685)**	(4,685)
Net deferred tax assets	**30,935**	19,015
Deferred tax liabilities:		
Depreciation and amortization	**(39,997)**	(38,032)
Investment basis difference	**(6,208)**	(6,245)
Other	–	(506)
Total deferred tax liabilities	**(46,205)**	(44,783)
Total net deferred tax liabilities	**$ (15,270)**	$ (25,768)

9. Income Taxes (continued)

The Company records deferred tax assets and liabilities for the expected future tax consequences of temporary differences between financial statement carrying amounts of assets and liabilities and their respective tax basis, using statutory tax rates in effect for the year in which the differences are expected to reverse. The effect of a change in tax laws and rates on deferred tax assets and liabilities is recognized in the results of operations in the period that includes the related enactment date.

The Company has recorded a valuation allowance of approximately $4,685,000 for the years ended June 30, 2025 and 2024 related to foreign tax credits. In assessing whether its deferred tax assets are realizable, the Company considers whether it is more likely than not that some portion or all of the deferred tax assets will not be realized and adjusts the valuation allowance accordingly.

The Company does not have any uncertain tax positions.

The Company files income tax returns in several tax jurisdictions, including the United States and California and is subject to routine audits by taxing authorities in the jurisdictions in which it files. As of June 30, 2025, tax years 2014, 2016 through 2019, and 2021 through 2023 are under examination by the Internal Revenue Service and tax years 2012 through 2014 are under examination by the California Franchise Tax Board. The Company has extended the statute of limitations on its Federal income tax returns for 2016 through 2019, and 2021 to August 31, 2026 and December 31, 2025, respectively. The Company has extended the statute of limitations on California's 2012 through 2014 income tax returns to June 30, 2026.

10. Commitments and Contingencies

Other Commitments

The Company has a long-term purchase contract that includes annual fixed payment terms for fifty years with an option to extend for an additional fifty years. Every tenth year, the fixed payment amount is subject to reassessments. Expenditures related to this agreement were $2,170,000 and $2,133,000 for the years ended June 30, 2025 and 2024, respectively. The remaining commitments under this purchase contract are payable as follows:

	2025
	(In Thousands)
2026	**$ 2,207**
2027	**2,246**
2028	**2,285**
2029	**2,324**
2030	**2,364**
Thereafter	**7,341**
Total remaining commitments	**$ 18,767**

Litigation

The Company is subject to various legal proceedings and claims arising from the ordinary course of business. While the outcome of these matters cannot be predicted with certainty, management believes that the ultimate resolution will not have a material adverse effect on the Company's financial position.

Standby Letter of Credit

The Company has a standby letter of credit facility for its general corporate purposes with a total amount available of $20,000,000 as of June 30, 2025 and 2024, respectively, to provide security for its obligations. There were no amounts drawn under this facility.

11. Subsequent Events

Subsequent events have been evaluated through October 15, 2025, the date the financial statements were available to be issued.